

Canada Bread Company, Limited

Interim Report to Shareholders

for the **Third Quarter** ended September 30, 2008

Report To Shareholders
Management's Discussion and Analysis

The Company's earnings for the third quarter improved significantly from the first half of 2008 due to a decline in wheat and energy prices late in the quarter. In combination with price increases implemented earlier in the year, Management expects margins to continue to improve through the end of the year.

Financial Overview

Sales for the third quarter increased 14.8% to $443.1 million compared to the same period last year due to higher selling prices and contributions from acquisitions. Excluding acquisitions, sales for the quarter increased by 9.7% compared to last year. Year-to-date, sales increased 12.8% to $1,263.4 million.

Earnings from operations before restructuring and other related costs and other income ("Adjusted Operating Earnings") were $31.9 million for the third quarter compared to $34.1 million last year, as price increases implemented earlier in the year largely offset higher wheat and oil prices in the period. Net earnings before restructuring and other related costs for the quarter were $23.7 million ($0.93 per share), compared to $21.1 million ($0.83 per share) last year. Year-to-date earnings per share, on a comparable basis, were $1.75 compared to $2.43 last year.

Following is a summary of net earnings and earnings per share ("EPS") before restructuring and other related costs ("Adjusted EPS"):

($ millions)	Third Quarter			Year-to-Date		
	2008	2007	Change	**2008**	2007	Change
Net Earnings	**$ 19.7**	$ 21.1	(6.4)%	**$ 38.5**	$ 60.2	(36.1)%
Restructuring and other related costs, net of tax	**4.0**	0.0	N/A	**5.9**	1.5	294.5 %
Net earnings before restructuring and other related costs (i)	**$ 23.7**	$ 21.1	12.6 %	**$ 44.4**	$ 61.7	(28.0)%
Adjusted EPS (i)	**$ 0.93**	$ 0.83	12.6 %	**$ 1.75**	$ 2.43	(28.0)%

(i) *These are not recognized measures under Canadian GAAP. Management believes that this is the most appropriate basis on which to evaluate results, as restructuring and other related costs are not representative of continuing operations.*

Business Segment Review

The following table summarizes Adjusted Operating Earnings by business segment:

($ millions)	Third Quarter			Year-to-Date		
	2008	2007	Change	**2008**	2007	Change
Fresh Bakery	**$ 26.0**	$ 24.9	4.1 %	**$ 51.1**	$ 72.7	(29.7)%
Frozen Bakery	**5.9**	9.2	(35.9)%	**12.7**	25.4	(50.0)%
	$ 31.9	$ 34.1	(6.6)%	**$ 63.8**	$ 98.1	(34.9)%

Fresh Bakery *(Fresh bakery products, specialty baked goods and hand-held snacks, and fresh pasta and sauces)*

Fresh Bakery sales for the third quarter increased 19.2% to $290.2 million compared to $243.5 million last year, largely due to price increases and contributions from acquisitions. Excluding acquisitions, sales increased by 13.8% compared to last year.

Adjusted Operating Earnings for the quarter were $26.0 million compared to $24.9 million last year. Earnings were significantly impacted in the first half of 2008 by an unprecedented rise in commodity prices. Price increases implemented late in 2007 and early 2008 contributed to results in the third quarter, but have not offset prior losses. In the early part of the quarter, earnings across the business were affected by high wheat and oil prices, which began to decline towards the end of the quarter. Management anticipates that the combination of the price increases implemented earlier in the year and lower commodity prices will continue to improve margins through the end of the year. In the third quarter, earnings were also affected by increased investment in marketing and innovation initiatives.

Frozen Bakery *(North American and U.K. frozen bakery products; including frozen par-baked and specialty bakery products)*

Frozen Bakery sales increased by 7.4% to $152.9 million from $142.3 million last year due to increased prices and contributions from acquisitions. Excluding acquisitions, sales increased by 2.7% compared to last year.

Adjusted Operating Earnings for the quarter declined to $5.9 million from $9.2 million last year. Similar to the Fresh Bakery segment, Frozen Bakery benefited from price increases implemented earlier in the year and the decline in wheat costs towards the end of the quarter. Offsetting these benefits was a decline in sales and earnings in the U.K. as bagel sales growth was lower than the prior year, due to the effects of a fire on its principal bagel line at the plant in Rotherham that occurred earlier in the year. Additional operating costs were also incurred in commissioning the new oven.

In the third quarter, the Company received an interim insurance settlement of $4.8 million (recorded in Other Income) to cover business interruption losses resulting from the fire at its bagel plant. The Company has received $6.5 million year-to-date and based on final settlement of costs and impact to the business, expects to receive further insurance proceeds in the fourth quarter and in the first quarter of 2009.

As part of its acquisition integration activity, the U.K. bakery is taking steps to further reduce costs and improve operating efficiencies. This includes the closure of two small bakery operations announced in the quarter, with production from these facilities, primarily croissants and bagels, being transferred to the Company's larger bakeries in Maidstone and Rotherham.

In continuation of its initiatives to increase the profitability of its North American frozen bakery business, the Company closed a bagel plant in Toronto and shifted production to other regional facilities. A bagel line is also being commissioned at its bakery in Roanoke, Virginia, which will move production closer to customers and reduce transportation costs.

Gross Margin

Gross margin decreased by 1.9% to $79.6 million for the quarter from $81.1 million last year. The decline in gross margin was driven by lower volumes and the oven commissioning costs that resulted from the fire at the bagel facility.

SG&A

Selling, general and administrative expenses increased to $47.7 million compared to $47.0 million for the prior year. Increased investment in innovation and marketing of new products within Fresh Bakery was offset by deferred promotional activity in the U.K. due to the oven fire and its impact on capacity.

Other Income

Other income for the third quarter was $4.8 million, mainly due to insurance proceeds which partially reimburse the Company for excess operating costs incurred as a result of an oven fire at the U.K. bakery. As these proceeds represent a recovery of costs and lost profits, they should be considered in combination with the Bakery Group operating results.

Restructuring and Other Related Costs

During the third quarter of 2008, the Company recorded a charge for restructuring and other related costs of $5.7 million (2007: $nil) due to plant closures in the United Kingdom and Canada. Year-to-date, restructuring charges were $8.4 million (2007: $2.2 million).

Cash Flow and Financing

Cash flow from operating activities was $41.4 million for the third quarter compared to $30.9 million in the prior year period. The increase is largely attributable to a reduction in accounts receivable during the quarter due to lower sales volumes in the U.K. Year-to-date cash flow from operating activities was $55.2 million compared to $88.1 million last year. The year-to-date decrease is the result of lower net earnings and increased investment in inventory due to higher wheat costs.

Historically, the Company generates a significant amount of operating cash flow that has more than covered financing needs related to operational capital expenditures and restructuring costs. These operating cash flows provide a strong base of underlying liquidity, which the Company has supplemented with credit facilities to provide longer-term funding and surplus liquidity. During the quarter, the Company amended its primary credit facility provided by Maple Leaf Foods Inc. The effect of the amendment was to extend the maturity date to December 27, 2011 and a modest increase in the pricing to reflect increases in market pricing for similar loans. The facility is unsecured and is subject to certain financial covenants. As at September 30, 2008, the Company was compliant with all of its financial covenants.

The Company is exposed to fluctuations in the prices of raw materials, seasonal and other market-related price changes, particularly wheat costs. Due to the high sales volumes and rapid turnover of inventories, the impact of these price fluctuations is generally short term. When commodity price increases are significant, it can increase the funding required for investments in working capital. These working capital requirements will be funded from operating cash flow and from existing credit facilities. Management is of the opinion that its operating cash flow and existing credit facilities provide the Company with sufficient resources to finance ongoing business requirements and its planned capital investment program.

As at September 30, 2008, the Company had available undrawn committed credit of $171.6 million under the terms of its principal credit facility with Maple Leaf Foods Inc.

Interest expense for the third quarter increased to $2.1 million compared to $1.4 million last year. The variance was driven by a decline in interest income generated by the Company's five-year cross-currency swap, which matured and was settled on January 1, 2008. This settled swap generated interest income of $1.1 million in the third quarter of 2007. The decline in interest income was partially offset by a decrease in interest expense as a result of lower average debt balances compared to the previous year and lower short-term interest rates. Year-to-date interest expense was $6.0 million compared to $4.1 million.

Capital expenditures on plant and equipment for the third quarter were $14.2 million compared to $22.1 million last year.

Taxes

The Company's effective tax rate decreased to 31.5% from 35.6% last year, primarily the result of restructuring and other related costs in the third quarter that are deductible at an effective tax rate of 30.2%.

Summary of Quarterly Results

The following is a summary of unaudited quarterly financial information for the seven interim periods ended September 30, 2008 (in thousands of dollars except per share information):

		First Quarter	Second Quarter	Third Quarter	Fourth Quarter	Total
Sales	**2008**	$ 382,869	$ 437,418	**$ 443,086**		**$1,263,373**
	2007	358,337	375,723	385,849	$ 393,270	1,513,179
Net earnings	**2008**	$ 12,211	$ 6,538	**$ 19,727**		**$ 38,476**
	2007	17,910	21,225	21,087	$ 23,529	83,751
Earnings per share						
Basic EPS	**2008**	$ 0.48	$ 0.26	**$ 0.77**		**$ 1.51**
	2007	0.70	0.84	0.83	$ 0.93	3.30
Adjusted EPS [(i) (ii)]	**2008**	$ 0.52	$ 0.30	**$ 0.93**		**$ 1.75**
	2007	0.76	0.84	0.83	$ 0.88	3.31
Diluted EPS	**2008**	$ 0.48	$ 0.26	**$ 0.77**		**$ 1.51**
	2007	0.70	0.84	0.83	$ 0.93	3.30

(i) *Earnings per share before restructuring and other related costs and certain non-recurring tax adjustments.*
(ii) *Does not add due to rounding.*

For an explanation and analysis of quarterly results, refer to Management's Discussion and Analysis for each of the respective quarterly periods filed on SEDAR and also available on the Company's website at www.canadabread.ca.

Changes in Accounting Policies

In January 2006, the Accounting Standards Board (the "AcSB") announced its decision to require all publicly accountable enterprises to report under International Financial Reporting Standards ("IFRS") for years beginning on or after January 1, 2011. As a result, financial reporting by Canadian publicly accountable enterprises will change significantly from current Canadian GAAP to IFRS.

On February 13, 2008, the AcSB confirmed that publicly accountable enterprises will be required to use IFRS, as issued by the International Accounting Standards Board, unless modifications or additions to the requirements of IFRS are issued by the AcSB. IFRS must be adopted for interim and annual financial statements related to fiscal years beginning on or after January 1, 2011, with restatement of comparative periods.

The Company is currently assessing the future impact of these new standards on its consolidated financial statements.

In May 2007, the Accounting Standards Board issued CICA Handbook Section 3031, "Inventories". The standard introduces changes to the measurement and disclosure of inventory and is consistent with international accounting standards. The Company adopted the measurement provisions of the standard effective January 1, 2008. The adoption of the standard did not have a material impact on the results of operations or measurement of inventory.

In October 2006, the Accounting Standards Board issued CICA Handbook Section 3862, "Financial Instruments – Disclosure" and Section 3863, "Financial Instruments – Presentation" which replaces Section 3861, "Financial Instruments – Disclosure and Presentation". The new disclosure standards require increased disclosure of risks associated with recognized and unrecognized financial instruments and how those risks are managed. The standards carry forward the former presentation requirements of Section 3861. The Company has complied with the new disclosure requirements beginning in 2008.

In October 2006, the Accounting Standards Board issued CICA Handbook Section 1535, "Capital Disclosures", which establishes standards for disclosing information about an entity's capital and how it is managed. The Company has complied with the new disclosure requirements beginning in 2008.

Other Matters

On October 22, 2008, Canada Bread Company, Limited declared a dividend of $0.06 per share payable on January 2, 2009 to shareholders of record on December 8, 2008. Unless indicated otherwise, by the corporation, in writing at or before the time the dividend is paid, each dividend paid by the corporation in 2008 or a subsequent year is an eligible dividend for the purposes of the "Enhanced Dividend Tax Credit System".

Forward-Looking Statements

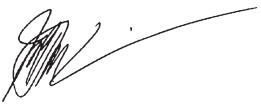
This document contains, and the Company's oral and written public communications often contain, forward-looking statements that are based on current expectations, estimates, forecasts and projections about the industries in which the Company operates and beliefs and assumptions made by the Management of the Company. Such statements include, but are not limited to, statements with respect to our objectives and goals, as well as statements with respect to our beliefs, plans, objectives, expectations, anticipations, estimates and intentions. Words such as "expect", "anticipate", "intend", "attempt", "may", "will", "plan", "believe", "seek", "estimate", and variations of such words and similar expressions are intended to identify such forward-looking statements. These statements are not guarantees of future performance and involve assumptions and risks and uncertainties that are difficult to predict. In particular, these forward-looking statements are based on a variety of factors and assumptions including, but not limited to: the condition of the Canadian and United States economies; the magnitude of the rate of change of the Canadian dollar versus the U.S. dollar; the availability and prices of raw materials, energy and supplies; product pricing; the competitive environment and related market conditions; improvement of operating efficiencies; continued access to capital; the cost of compliance with environmental and health standards; adverse results from ongoing litigation; no expected actions of domestic and foreign governments and the general assumption that none of the risks identified under "Risk Factors" in the Company's 2007 Annual Information Form will materialize. These assumptions have been derived from information currently available to the Company including information obtained by the Company from third-party industry analysts. These assumptions may prove to be incorrect in whole or in part. In addition, actual results may differ materially from those expressed, implied or forecasted in such forward-looking statements. Factors that could cause actual results or outcomes to differ materially from the results expressed, implied or forecasted in such forward-looking statements are discussed more fully in the Company's Management's Discussion and Analysis for the year ended December 31, 2007, which is available on SEDAR at www.sedar.com. The Company does not intend, and the Company disclaims any obligation to update any forward-looking statements, whether written or oral, or whether as a result of new information, future events or otherwise except as required by law.

Canada Bread Company, Limited, which is 89.8% owned by Maple Leaf Foods Inc., is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company had 2007 sales of $1.5 billion and employs approximately 8,800 people at its operations across North America and in the United Kingdom.

For the Board of Directors,



Richard A. Lan
President and Chief Executive Officer



Michael H. McCain
Chairman
October 29, 2008

Consolidated Balance Sheets

In thousands of Canadian dollars	As at September 30, 2008	As at September 30, 2007	As at December 31, 2007
	(Unaudited)	*(Unaudited)*	
ASSETS			
Current assets			
Cash and cash equivalents	**$ 20,328**	$ 12,439	$ 2,847
Accounts receivable (Note 3)	**76,108**	72,712	68,464
Inventories (Note 4)	**58,451**	49,086	47,036
Future tax asset – current	**18,719**	4,607	5,937
Prepaid expenses and other receivables	**13,039**	7,431	4,798
Other current assets (Note 5)	**—**	82,146	80,586
	$ 186,645	$ 228,421	$ 209,668
Property and equipment	**408,160**	393,825	396,623
Goodwill	**395,181**	387,465	371,066
Other intangibles	**18,331**	4,596	12,870
Future tax asset – non-current	**—**	360	—
Other long-term assets	**9,815**	1,779	7,955
	$ 1,018,132	$ 1,016,446	$ 998,182
LIABILITIES AND SHAREHOLDERS' EQUITY			
Current liabilities			
Bank indebtedness	**$ 9,521**	$ 10,157	$ 9,845
Accounts payable and accrued charges	**185,670**	181,911	177,695
Due to Maple Leaf Foods Inc.	**3,960**	7,757	5,408
Dividends payable	**1,525**	1,525	1,525
Income and other taxes payable	**18,560**	21,131	15,078
Current portion of long-term debt	**50**	10,352	107,644
	$ 219,286	$ 232,833	$ 317,195
Long-term debt	**78,453**	116,700	5
Future tax liability – non-current	**35,867**	29,382	33,522
Other long-term liabilities	**13,918**	12,157	12,417
Shareholders' equity (Note 7)	**670,608**	625,374	635,043
	$ 1,018,132	$ 1,016,446	$ 998,182

The accompanying notes to the consolidated financial statements are an integral part of these statements.

Consolidated Statements of Earnings

In thousands of Canadian dollars, except share amounts *(Unaudited)*	Three months ended September 30, 2008	Three months ended September 30, 2007	Nine months ended September 30, 2008	Nine months ended September 30, 2007
Sales	**$ 443,086**	$ 385,849	**$1,263,373**	$ 1,119,909
Cost of goods sold	**363,501**	304,754	**1,054,553**	884,177
Gross margin	**$ 79,585**	$ 81,095	**$ 208,820**	$ 235,732
Selling, general and administrative expenses	**47,726**	46,979	**145,019**	137,660
Earnings from operations before the following:	**$ 31,859**	$ 34,116	**$ 63,801**	$ 98,072
Restructuring and other related costs (Note 9)	**(5,718)**	—	**(8,410)**	(2,192)
Other income (Note 10)	**4,797**	77	**6,372**	486
Earnings before interest and income taxes	**$ 30,938**	$ 34,193	**$ 61,763**	$ 96,366
Interest expense	**2,147**	1,446	**5,982**	4,076
Earnings before income taxes	**$ 28,791**	$ 32,747	**$ 55,781**	$ 92,290
Income taxes	**9,064**	11,660	**17,305**	32,068
Net earnings	**$ 19,727**	$ 21,087	**$ 38,476**	$ 60,222
Earnings per share – basic and diluted	**$ 0.77**	$ 0.83	**$ 1.51**	$ 2.37
Weighted average number of shares (millions)	**25.4**	25.4	**25.4**	25.4

The accompanying notes to the consolidated financial statements are an integral part of these statements.

Consolidated Statements of Comprehensive Income

In thousands of Canadian dollars *(Unaudited)*	Three months ended September 30, **2008**	2007	Nine months ended September 30, **2008**	2007
Net earnings	**$ 19,727**	$ 21,087	**$ 38,476**	$ 60,222
Other comprehensive income (loss) (Note 8)				
Change in accumulated foreign currency translation adjustment	**(7,010)**	(8,689)	**3,299**	(18,730)
Change in unrealized derivative loss on cash flow hedges	**(561)**	(1,621)	**(1,635)**	232
	(7,571)	(10,310)	**1,664**	(18,498)
Comprehensive income	**$ 12,156**	$ 10,777	**$ 40,140**	$ 41,724

The accompanying notes to the consolidated financial statements are an integral part of these statements.

Consolidated Statements of Retained Earnings

In thousands of Canadian dollars, except in share amounts *(Unaudited)*	Nine months ended September 30, **2008**	2007
Retained earnings, beginning of period	**$ 528,327**	$ 450,733
Net earnings	**38,476**	60,222
Inter-company acquisition	**—**	(57)
Dividends declared ($0.18 per share; 2007: $0.18 per share)	**(4,575)**	(4,575)
Retained earnings, end of period	**$ 562,228**	$ 506,323

The accompanying notes to the consolidated financial statements are an integral part of these statements.

Consolidated Statements of Cash Flows

In thousands of Canadian dollars *(Unaudited)*	Three months ended September 30, **2008**	Three months ended September 30, 2007	Nine months ended September 30, **2008**	Nine months ended September 30, 2007
CASH PROVIDED BY (USED IN):				
Operating activities				
Net earnings	**$ 19,727**	$ 21,087	**$ 38,476**	$ 60,222
Add (deduct) items not affecting cash:				
Depreciation and amortization	**14,012**	12,194	**41,014**	36,936
Future income taxes	**1,817**	1,057	**1,394**	988
Loss (gain) on sale of property and equipment	**(34)**	(62)	**139**	(447)
Changes in restructuring and other related costs	**4,987**	—	**6,904**	—
Other	**(218)**	(1,096)	**1,087**	(1,387)
Change in operating working capital	**1,154**	(2,280)	**(33,752)**	(8,262)
Cash provided by operating activities	**$ 41,445**	$ 30,900	**$ 55,262**	$ 88,050
Financing activities				
Dividends paid	**(1,525)**	(1,525)	**(4,575)**	(4,575)
Net increase (decrease) in long-term debt	**(11,768)**	35,146	**(29,145)**	41,172
Settlement of cross-currency interest rate swap with Maple Leaf Foods Inc.	**—**	—	**80,586**	—
Cash provided by (used in) financing activities	**$ (13,293)**	$ 33,621	**$ 46,866**	$ 36,597
Investing activities				
Additions to property and equipment	**(14,155)**	(22,058)	**(40,025)**	(64,583)
Proceeds from sale of property and equipment	**86**	62	**618**	788
Acquisition of business, net of cash acquired	**(1,275)**	(40,235)	**(44,819)**	(48,469)
Change in intangible assets	**(58)**	245	**(97)**	159
Cash used in investing activities	**$ (15,402)**	$ (61,986)	**$ (84,323)**	$(112,105)
Increase (decrease) in cash and cash equivalents	**12,750**	2,535	**17,805**	12,542
Net cash and cash equivalents, beginning of period	**(1,943)**	(253)	**(6,998)**	(10,260)
Net cash and cash equivalents, end of period	**$ 10,807**	$ 2,282	**$ 10,807**	$ 2,282

The accompanying notes to the consolidated financial statements are an integral part of these statements.

1. THE COMPANY

Canada Bread Company, Limited ("Canada Bread" or the "Company") and its subsidiaries operate in the bakery industry across North America and internationally. Its principal business is the manufacture and sale of bakery and pasta products, including fresh bread, rolls, bagels and par-baked bread. Canada Bread is 89.8% owned by Maple Leaf Foods Inc. ("Maple Leaf").

2. SIGNIFICANT ACCOUNTING POLICIES

The unaudited interim consolidated financial statements should be read in conjunction with the annual consolidated financial statements for the year ended December 31, 2007. These unaudited interim consolidated financial statements have been prepared in accordance with Canadian generally accepted accounting principles using the same accounting policies as were applied in the consolidated financial statements for the year ended December 31, 2007, except for the following:

Accounting changes

(i) In May 2007, the Accounting Standards Board issued CICA Handbook Section 3031, "Inventories". The standard introduces changes to the measurement and disclosure of inventory and is consistent with International Financial Reporting Standards. The Company adopted the measurement provisions of the standard effective January 1, 2008. The adoption of the standard did not have a material impact on the results of operations or measurement of inventory.

Inventories are valued at the lower of cost and net realizable value, with cost being determined substantially on a first-in, first-out basis. Included in the cost of inventory are direct product costs, direct labour and an allocation of variable and fixed manufacturing overhead including depreciation.

(ii) In October 2006, the Accounting Standards Board issued CICA Handbook Section 3862, "Financial Instruments – Disclosure" and Section 3863, "Financial Instruments – Presentation" which replace Section 3861, "Financial Instruments – Disclosure and Presentation". The new disclosure standards require increased disclosure of risks associated with recognized and unrecognized financial instruments and how those risks are managed. The standards carry forward the former presentation requirements of Section 3861. The Company has complied with the new disclosure requirements beginning in 2008 and the new disclosure requirements are presented in Note 6.

(iii) In October 2006, the Accounting Standards Board issued CICA Handbook Section 1535, "Capital Disclosures", which establishes standards for disclosing information about an entity's capital and how it is managed. The Company has complied with the new disclosure requirements beginning in 2008 and the new disclosure requirements are presented in Note 6.

3. ACCOUNTS RECEIVABLE

Under a revolving securitization program, the Company has sold certain of its trade accounts receivable to financial institutions. The Company retains servicing responsibilities and retains a limited recourse obligation for delinquent receivables. At September 30, 2008, trade accounts receivable being serviced under this program amounted to $70.0 million (2007: $70.0 million).

4. Inventories

	As at September 30,	
	2008	2007
Raw materials	**$ 12,721**	$ 10,232
Finished goods	**23,873**	18,191
Packaging	**8,519**	8,572
Spare parts	**13,338**	12,091
	$ 58,451	$ 49,086

5. Other Current Assets

On January 2, 2008, the Company's five-year cross-currency interest rate swap with Maple Leaf matured and was settled for $80.6 million resulting in a decrease in other current assets and long-term debt.

6. Financial Instruments and Risk Management Activities

CAPITAL

The Company's objective is to maintain a simple and cost-effective capital structure that supports its long-term growth strategy and maximizes operating flexibility. The Company has established clearly defined financial objectives including targets for return on net assets (11.5%) and compound annual earnings per share growth (15%). In allocating capital to investments to support these goals, the Company establishes internal hurdle return rates for all capital and acquisition initiatives. Capital projects are generally financed primarily with senior debt.

The Company's uses leverage in its capital structure to reduce the cost of capital. The Company maintains its primary credit ratios and leverage at levels that provide continued access to investment grade credit pricing and terms. The Company measures its credit profile using a number of metrics, primarily net debt to earnings before interest, income taxes, depreciation and restructuring and other related costs and earnings before interest, income taxes, depreciation and restructuring and other related costs to interest expense. The Company's primary credit facility with Maple Leaf was amended on September 2, 2008 to extend the final maturity date to December 27, 2011 and to adjust pricing to reflect increases in market prices for similar loans. This revolving credit facility, which provides for available credit of up to $250.0 million is unsecured and is subject to certain financial covenants. As at September 30, 2008, the Company was in compliance with all of these covenants.

In addition to senior debt and equity, the Company may use operating leases and limited recourse accounts receivable securitization programs as additional sources of financing.

The Company has maintained a stable dividend distribution that is based on sustainable net earnings base.

In the nine month period ended September 30, 2008, total equity increased by $35.6 million to $670.6 million. During the same period, total debt net of cash and cash equivalents decreased by $47.0 million to $67.7 million.

FINANCIAL INSTRUMENTS

The Company's financial assets and liabilities are classified into the following categories:

Cash and cash equivalents	Designated as held for trading
Accounts receivable	Loans and receivables
Bank indebtedness	Other financial liabilities
Accounts payable and accrued liabilities	Other financial liabilities
Due to Maple Leaf	Other financial liabilities
Dividends payable	Other financial liabilities
Long-term debt	Other financial liabilities
Derivative instruments (i)	

(i) *The Company has derivative instruments, from time to time, that are classified as held for trading and designated as cash flow hedges.*

Financial assets and liabilities designated as held for trading and all derivative financial instruments are recorded at fair value.

The fair value of financial assets classified as loans and receivables and financial liabilities (excluding long-term debt) approximate their carrying value due to their short-term nature. The carrying value of long-term debt as at September 30, 2008 is $78.5 million which approximates fair value.

The fair value of the Company's long-term debt was estimated based on discounted future cash flows using current rates for similar financial instruments subject to similar risks and maturities. The fair values of the Company's interest rate and foreign exchange derivative financial instruments were estimated using current market measures for interest rates and foreign exchange rates. Commodity futures and options contracts are exchange-traded and fair value was determined based on exchange prices.

The risks associated with the Company's financial instruments and policies for managing these risks are detailed below.

Credit Risk

Credit risk refers to the risk of losses due to failure of the Company's customers and counterparties to meet their payment obligations.

In the normal course of business, the Company is exposed to credit risk from its customers, substantially all of which are in the grocery and foodservice markets. The Company performs ongoing credit evaluations of new and existing customers' financial condition and reviews the collectibility of its trade and other accounts receivable in order to mitigate any possible credit losses. The Company maintains an allowance for doubtful accounts that represents its estimate of uncollectible amounts. The components of this allowance include a provision related to specific losses estimated on individually significant exposures and a provision based on historical trends of collections. Days sales outstanding for the quarter is consistent with historic trends. There are no significant impaired receivables that have not been provided for in the allowance for doubtful accounts and the provision for past due amounts is sufficient to cover all significant known exposures. As at September 30, 2008, the Company believes that the allowance for doubtful accounts sufficiently covers any credit risk related to past due or impaired accounts receivable balances.

Management believes concentrations of credit risk with respect to accounts receivable is limited due to the generally high credit quality of the Company's major customers, and the large number and geographic dispersion of smaller customers. The Company does, however, conduct a significant amount of business with large grocery retailers. The Company's three largest customers comprise approximately 39% of consolidated accounts receivable at September 30, 2008 and the two largest customers comprise approximately 39% of consolidated sales.

The Company is exposed to credit risk on its cash and cash equivalents (comprising primarily deposits and short-term placements with Canadian chartered banks) and non-exchange-traded derivatives contracts. The Company mitigates this credit risk by only dealing with counterparties that are major international financial institutions with long-term debt ratings of single A or better.

The Company's maximum exposure to credit risk at the balance sheet date consists primarily of the carrying value of non-derivative financial assets and non-exchange-traded derivatives with positive fair values.

Liquidity Risk

Liquidity risk is the risk that the Company will encounter difficulty in meeting obligations associated with its financial liabilities.

The undiscounted principal cash flows payable in respect of financial liabilities as at the balance sheet date are as follows:

	As at September 30, 2008				
	Due within 1 year	Due between 1 and 2 years	Due between 2 and 3 years	Due after 3 years	Total
Non-derivative financial liabilities					
Bank indebtednesss	$ 9,521	$ —	$ —	$ —	$ 9,521
Accounts payable and accrued charges	185,670	—	—	—	185,670
Due to Maple Leaf	3,960	—	—	—	3,960
Dividends payable	1,525	—	—	—	1,525
Long-term debt	50	20	13	78,420	78,503
Total	$ 200,726	$ 20	$ 13	$78,420	$ 279,179

The Company manages liquidity risk by monitoring forecasted and actual cash flows, maintaining sufficient undrawn committed credit facilities and managing the maturity profiles of financial assets and financial liabilities to minimize re-financing risk.

As at September 30, 2008, the Company had available undrawn committed credit of $171.6 million under the terms of its principal credit facility with Maple Leaf.

MARKET RISK

Interest Rate Risk

Interest rate risk refers to the risk that the value of a financial instrument or cash flows associated with the instrument will fluctuate due to changes in market interest rates.

The Company's interest rate risk arises from long-term borrowings issued at fixed rates that create fair value interest rate risk and variable rate borrowings that create cash flow interest rate risk. The Company has no significant interest bearing assets.

At September 30, 2008, the Company had variable rate debt of $88.0 million with a weighted average interest rate of 4.0%. In addition, the Company is exposed to floating interest rates on its accounts receivable securitization programs. As at September 30, 2008, the amount sold pursuant to these programs was $70.0 million at a weighted average interest rate of 4.1%.

With respect to interest rate, foreign currency and commodity price market risk, sensitivity analyses discussing the effects of reasonably possible changes in relevant risk variables on net earnings and other comprehensive income on an after-tax basis are disclosed below. The periodic effects are determined by relating the reasonably possible changes in the risk variables to the balance of financial instruments at the reporting date.

It is estimated that, all else constant, a one percentage point change in interest rates would not materially impact net earnings.

The Company manages its interest rate risk exposure by using a mix of fixed and variable rate debt and periodically using interest rate derivatives to achieve the desired proportion of variable to fixed-rate debt.

The Company uses interest swaps to mitigate the risk from variable cash flows by effectively converting certain variable rate borrowings to fixed rate borrowings. The notional amounts of these swaps, which are designated and accounted for as cash flow hedges, totalled $70.0 million at September 30, 2008 (2007: $70.0 million) with maturity dates ranging from June 2011 to June 2014. The fixed rates payable by the Company under these contracts range from 5.0% to 5.4%. The floating rates are based on three month bankers' acceptance rates. These swaps had a fair value of negative $4.9 million at September 30, 2008 (2007: fair value of negative $1.9 million) of which $0.9 million is recorded in accounts payable and accrued charges and $4.0 million in other long-term liabilities at September 30, 2008.

Foreign Exchange Risk

Foreign exchange risk refers to the risk that the value of financial instruments or cash flows associated with the instruments will fluctuate due to changes in foreign exchange rates.

The Company's foreign exchange risk arises primarily from transactions in currencies other than Canadian dollars.

The Company uses foreign exchange forward contracts to manage foreign exchange transaction exposures. The primary currency to which the Company is exposed is the U.S. dollar. Qualifying foreign currency forward contracts are accounted for as cash flow hedges. As at September 30, 2008, the Company did not have any foreign currency forward contracts designated in formal hedging relationships and there were foreign exchange forward contracts outstanding with a positive fair value of $0.1 million.

It is estimated that, all else constant, a hypothetical positive/negative 10% change in the value of the Canadian dollar against all relevant currencies would not materially impact net earnings.

Commodity Price Risk

The Company is exposed to price risk related to purchases of wheat and other agricultural commodities used as raw materials. The Company may use contracts with suppliers and exchange-traded futures and options to manage its exposure to price fluctuations.

The Company applies the normal purchase and sales classification to certain contracts that are entered into for the purpose of procuring wheat to be used in production within the normal course of business.

The fair values and notional amounts of derivative financial instruments by designated hedge type are shown below:

	2008			2007		
	Notional Amount	Fair Value		Notional Amount	Fair Value	
		Asset	Liability		Asset	Liability
Cash flow hedges						
Interest rate swaps	**$70,000**	**$ —**	**$ 4,875**	$70,000	$ —	$ 1,945
Foreign exchange forward contracts [1]	—	—	—	7,355	1,086	—
Derivatives not designated in a formal hedging relationship						
Foreign exchange forward contracts [1]	**$47,003**	**$ 63**	**$ —**	$32,526	$ 2,400	$ —
Total		**$ 63**	**$ 4,875**		$ 3,486	$ 1,945
Current		**$ 63**	**$ 896**		$ 3,486	$ 329
Non-current		**—**	**3,979**		—	1,616
Total		**$ 63**	**$ 4,875**		$ 3,486	$ 1,945

(i) *Notional amounts are stated at the contractual Canadian dollar equivalent.*

For the nine months ended September 30, 2008 and 2007, the amount of hedge ineffectiveness recognized in earnings was not material.

7. Shareholders' Equity

Shareholders' equity consists of the following:

	As at September 30,	
	2008	2007
Share capital (2008 and 2007: 25,416,812 common shares)	**$ 142,965**	$ 142,965
Retained earnings	**562,228**	506,323
Accumulated other comprehensive loss (Note 8)	**(34,585)**	(23,914)
	$ 670,608	$ 625,374

The authorized share capital of the Company consists of an unlimited number of common shares and 25,000 preference shares, issuable in series. As at September 30, 2008, there were no issued and outstanding preference shares.

8. Accumulated Other Comprehensive Loss

Accumulated other comprehensive loss consists of the following:

	Nine months ended September 30,	
	2008	2007
Balance at the beginning of the period	**$ (36,249)**	$ (5,254)
Transition adjustment as of January 1, 2007	**—**	(162)
Adjusted balance at the beginning of the period	**$ (36,249)**	$ (5,416)
Change in accumulated foreign currency translation adjustment [(i)]	**3,299**	(18,730)
Change in unrealized derivative loss on cash flow hedges – net [(ii)]	**(1,635)**	232
Other comprehensive income (loss) for the period	**$ 1,664**	$ (18,498)
Accumulated other comprehensive loss as at September 30	**$ (34,585)**	$ (23,914)

(i) *Change in accumulated foreign currency translation adjustment is net of tax of $nil for the nine months ended September 30, 2008 (2007: $nil). The change for the quarter of $7.0 million is net of tax of $nil (2007: change of $8.7 million, net of tax of $nil).*

(ii) *Change in unrealized derivative loss on cash flow hedges is net of tax of $0.6 million for the nine months ended September 30, 2008 (2007: $0.1 million). The change for the quarter of $0.6 million is net of tax of $0.3 million (2007: change of $1.6 million, net of tax of $0.8 million).*

The Company estimates that $0.9 million of net derivative losses included in accumulated other comprehensive loss will be reclassified into net earnings within the next twelve months. The actual amount of this reclassification will be impacted by future changes in the fair value of financial instruments designated as cash flow hedges and the actual amount reclassified could differ from this estimated amount. During the nine months ended September 30, 2008, a loss of approximately $0.4 million, net of tax of $0.3 million (a loss of $0.2 million, net of tax of $0.1 million for the quarter), was charged to income from accumulated other comprehensive loss and is included in the net change for the period.

9. Restructuring and Other Related Costs

In the third quarter of 2008, the Company recorded restructuring and other related costs of $5.7 million ($4.0 million after-tax), the majority of which were related to the announcement of the closure of two facilities in the United Kingdom.

During the second quarter of 2008, the Company recorded restructuring and other related costs of $1.4 million ($1.0 million after-tax), the majority of which were related to accelerated depreciation on the closure of a bagel facility in Toronto, Ontario.

During the first quarter of 2008, the Company recorded restructuring and other related costs of $1.3 million ($0.9 million after-tax), the majority of which are related to the closure of a bagel facility in Toronto, Ontario.

The following table provides a summary of the costs recognized and cash payments made in respect of these restructuring and other related initiatives in 2008 as well as the related liability:

	Severance	Site Closing and Other	Asset Impairment and Accelerated Depreciation	Retention	Total
Balance at December 31, 2007	**$ 2,822**	**$ 809**	**$ —**	**$ 55**	**$ 3,686**
Charges	322	166	785	—	1,273
Cash payments	—	(531)	—	—	(531)
Non-cash items	—	—	(785)	—	(785)
Balance at March 31, 2008	**$ 3,144**	**$ 444**	**$ —**	**$ 55**	**$ 3,643**
Charges	26	645	748	—	1,419
Cash payments	(207)	—	—	—	(207)
Non-cash items	—	—	(748)	—	(748)
Balance at June 30, 2008	**$ 2,963**	**$ 1,089**	**$ —**	**$ 55**	**$ 4,107**
Charges (recoveries)	(246)	3,620	2,344	—	5,718
Cash payments	(641)	(127)	—	—	(768)
Non-cash items	—	—	(2,344)	—	(2,344)
Balance at September 30, 2008	**$ 2,076**	**$ 4,582**	**$ —**	**$ 55**	**$ 6,713**

10. Other Income

	Three months ended September 30,		Nine months ended September 30,	
	2008	2007	**2008**	2007
Proceeds from insurance claim [(i)]	**$ 4,751**	$ —	**$ 6,467**	$ —
Gain (loss) on sale of property and equipment	**34**	62	**(139)**	447
Other	**12**	15	**44**	39
	$ 4,797	$ 77	**$ 6,372**	$ 486

(i) *In the third quarter, the Company received an interim insurance settlement of approximately $4.8 million to cover business interruption losses resulting from a fire at its bagel plant in the United Kingdom. The Company has received $6.5 million in the nine months ended September 30, 2008 related to this settlement.*

11. Pensions

During the quarter, the Company recorded $2.9 million related to net benefit plan expense (2007: $3.2 million). For the first nine months of 2008, the Company recorded $8.0 million in net benefit plan expense (2007: $8.4 million).

12. Acquisitions

i. On August 17, 2007 the Company acquired La Fornaia Ltd. ("La Fornaia"), a leading producer of a range of specialty Italian breads for total consideration of £19.1 million ($40.7 million). During the quarter, the Company finalized the purchase accounting for La Fornaia and accrued additional acquisition costs of £0.3 million ($0.5 million). The Company has allocated £2.6 million ($5.8 million) of the purchase price to the identifiable net assets of La Fornaia at the acquisition date and £16.5 million ($34.9 million) to goodwill and intangible assets. The acquired intangible assets include £3.0 million ($5.7 million) allocated to customer relationships that are being amortized on a straight-line basis over their useful lives to a maximum of 25 years.

ii. On January 29, 2008 the Company acquired the shares of Aliments Martel Inc. ("Martel"), a leading manufacturer and distributor of sandwiches, meals and sweet goods based in Quebec for a purchase price of $44.2 million plus contingent consideration of up to $22.6 million based on financial performance over the three years following the acquisition date. The Company has allocated $18.4 million of the purchase price to the net identifiable assets of Martel at the acquisition date and $25.8 million to goodwill. During the quarter, the Company accrued additional acquisition costs of $0.8 million. The Company has not yet finalized the purchase equation for this acquisition.

13. Supplemental Cash Flow Information

	Three months ended September 30,		Nine months ended September 30,	
	2008	2007	**2008**	2007
Net interest paid	**$ 2,145**	$ 1,523	**$ 5,938**	$ 4,195
Net income taxes paid	**5,765**	9,575	**24,991**	31,722

14. Segmented Financial Information

The Company's operations are classified into two primary business segments, which have been used for the operating segment disclosures for all years presented:

(a) Fresh Bakery includes fresh bakery products and specialty fresh pasta and sauces.

(b) Frozen Bakery includes North American and U.K. frozen bakery products including frozen par-baked and specialty bakery products.

	Three months ended September 30,		Nine months ended September 30,	
(Unaudited)	**2008**	2007	**2008**	2007
Sales				
Fresh Bakery	**$ 290,196**	$ 243,509	**$ 815,058**	$ 706,850
Frozen Bakery	**152,890**	142,340	**448,315**	413,059
	$ 443,086	$ 385,849	**$ 1,263,373**	$ 1,119,909
Earnings from operations before restructuring and other related costs and other income				
Fresh Bakery	**$ 25,985**	$ 24,955	**$ 51,131**	$ 72,725
Frozen Bakery	**5,874**	9,161	**12,670**	25,347
	$ 31,859	$ 34,116	**$ 63,801**	$ 98,072
Additions to property and equipment				
Fresh Bakery	**$ 5,912**	$ 5,392	**$ 17,085**	$ 30,968
Frozen Bakery	**8,243**	16,666	**22,940**	33,615
	$ 14,155	$ 22,058	**$ 40,025**	$ 64,583
Depreciation and amortization				
Fresh Bakery	**$ 7,122**	$ 6,470	**$ 20,975**	$ 19,176
Frozen Bakery	**6,890**	5,724	**20,039**	17,760
	$ 14,012	$ 12,194	**$ 41,014**	$ 36,936

	As at September 30, 2008	As at September 30, 2007	As at December 31, 2007
	(Unaudited)	*(Unaudited)*	
Total assets			
Fresh Bakery	**$ 459,396**	$ 399,304	$ 400,518
Frozen Bakery	**507,191**	515,709	573,772
Non-allocated assets	**51,545**	101,433	23,892
	$ 1,018,132	$ 1,016,446	$ 998,182
Goodwill			
Fresh Bakery	**$ 156,691**	$ 131,255	$ 131,256
Frozen Bakery	**238,490**	256,210	239,810
	$ 395,181	$ 387,465	$ 371,066



CANADA BREAD COMPANY, LIMITED

10 FOUR SEASONS PLACE
ETOBICOKE, ONTARIO M9B 6H7
WWW.CANADABREAD.CA